

# Ambani's Next Big Bet



In 2016, Mukesh Ambani's Jio stormed into the telecom space with a predatory pricing strategy and a network that changed the game for the sector and forced competitors to rush to the drawing board. India became known for low data prices, and other players had to follow suit. Now, seven years on, Ambani is aiming for an encore, this time in the highly competitive world of financial services, through the newest member of the Reliance stable, Jio Financial Services (JFS). Already, after the demerger and subsequent listing of JFS on the stock exchanges, the fledgeling JFS commands a market capitalisation of around ₹1.6 lakh crore—bigger than several public sector banks and next only to that of State Bank of India (SBI). With a net worth of ₹1.2 lakh crore, Ambani is keen to leverage his balance sheet and draw on Reliance's huge footprint across telecom and retail to leapfrog into the financial services space. It has over 18,000 retail stores, 480 million telecom customers and 3 million merchant partnerships that JFS can draw on to cross-sell financial products. Aiding Ambani in this ambition is veteran banker and former ICICI Bank and BRICS Bank boss Kundapur Vaman Kamath, the JFS Chairman. The top deck of JFS also has those who have served at ICICI Bank, SBI and BRICS Bank.

In our cover story, *Anand Adhikari* decodes the JFS blueprint and breaks down every component of Ambani's strategy, and the competitive landscape. Despite the grand ambition, JFS will have to contend with several challenges along the way as Ambani scales up his latest venture. The financial services space is now highly regulated, with the regulatory arbitrage between banks and NBFCs all but gone. There are already several strong and established players like Bajaj Finance in this space, and new entrants from the Godrej, Piramal and Poonawalla stables are also spreading their wings aggressively. Besides, the biggest banks also offer products similar to what JFS plans to woo customers with. Unsecured lending is also fraught with risks, and given JFS's size and scale, the Reserve Bank of India will also be keeping a very watchful eye for any signs of systemic risk. How Ambani ramps up JFS in the current financial services environment will be interesting to watch.

The cover story apart, I would also urge you to read the economy package put together by *Surabhi* where we examine various aspects of the India growth story. While the economy grew at a robust 7.8 per cent in the first quarter of FY24, there are global and domestic headwinds building up that could slow down the growth momentum in the months ahead. Key among these is the global slump that could take a toll on exports, the continuing pressure of retail inflation and the impact of an erratic monsoon. However, the government continues to keep a sharp focus on capital expenditure to spur demand. We also speak to top officials like Finance Secretary T.V. Somanathan and Dipam Secretary Tuhin Kanta Pandey to get their sense of where the economy is heading. Read on. **BT**

*Sourav Majumdar*

sourav.majumdar@ajtak.com  
@TheSouravM

# Business Today

<http://www.businesstoday.in>

**Chairman & Editor-in-Chief:** Aroon Purie  
**Vice Chairperson:** Kalli Purie  
**Group Chief Executive Officer:** Dinesh Bhatia  
**Executive Director:** Rahul Kanwal  
**Chief Operating Officer:** Alok Nair  
**Editor:** Sourav Majumdar  
**Group Creative Editor:** Nilanjan Das  
**Group Photo Editor:** Bandeep Singh

**Managing Editor, Business Today TV:** Siddharth Zarabi

**Managing Editor:** Anand Adhikari  
**Executive Editor:** Krishna Gopalan

**Senior Editor, BusinessToday.in:** Mukesh Adhikari

## CORRESPONDENTS

**Economy Editor:** Surabhi  
**Senior Editors:** Neetu Chandra Sharma, Nidhi Singal  
**Editor (Money Today):** Teena Jain Kaushal  
**Senior Associate Editor:** Ashish Rukhaiyar  
**Associate Editor (Money Today):** Navneet Dubey  
**Senior Assistant Editor:** Binu Paul  
**Assistant Editors:** Arnab Dutta, Manish Pant, Prerna Lidhoo, Vidya S.

**Senior Correspondent:** Bhavya Kaushal

**PRESENTER AND SENIOR EDITOR, BUSINESS TODAY TV:**  
Aabha Bakaya

## RESEARCH

**Assistant Editor:** Rahul Oberoi  
**Principal Research Analyst:** Prince Tyagi

## COPY DESK

**Senior Editor:** Abhik Sen  
**Senior Assistant Editors:** Shishir Kumar Behera, Vikram Gopal  
**Senior Sub Editor:** Pranay Prakash

## PHOTOGRAPHY

**Principal Photographer:** Rajwant Singh Rawat  
**Staff Photographer:** Hardik Chhabra  
**Senior Photo Researcher:** Vishal Ghavri

## ART

**Creative Editor:** Anirban Ghosh  
**Deputy Art Director:** Rahul Sharma  
**Associate Art Director:** Raj Verma  
**Chief Designer:** Prabal Biswas

## EVENTS

**Senior Manager:** Sourabh Dutta

## PRODUCTION

**Chief of Production:** Harish Aggarwal  
**Senior Production Coordinator:** Narendra Singh  
**Production Coordinator:** Ayeekam David Meitei

## LIBRARY

**Assistant Librarian:** Satbir Singh  
**Executive Secretary:** Smriti Tandon

## BUSINESS TEAM (MAGAZINE)

**National Head-Business Today Magazine:** Siddhartha Chatterjee  
**Assistant General Manager:** Girish C

## BUSINESS TEAM (BT TV)

**National Head-BT TV:** Masuma Parekh  
**Senior General Manager:** Nisha Sharma

## AD OPS

**Deputy General Manager:** Avinash Karkera  
**Marketing:** Vivek Malhotra, Group Chief Marketing Officer  
**Newsstand Sales:** Deepak Bhatt, Senior General Manager  
(National Sales); Vipin Bagga, General Manager (Operations);  
Rajeev Gandhi, Deputy General Manager (North),  
Yogesh Godhanlal Gautam, Deputy Regional Sales Manager (West),  
S. Paramasivam, Deputy Regional Sales Manager (South)

**Vol. 32, No. 20, for the fortnight September 18, 2023  
to October 1, 2023. Released on September 18, 2023.**

● Editorial Office: India Today Mediaplex, FC 8, Sector 16A, Film City, Noida-201301;  
Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): AH-2, Enkay Centre, Ground  
Floor, VNI Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001;  
Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One World Center  
(Jupiter Mills), S.B. Marg, Lower Parel (West), Mumbai-400013; Tel: 022-69783355;  
Fax: 022-66063226; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai,  
Teynampet, Chennai-600018; Tel: 044-28478525; Fax: 044-24361942; Bangalore: 202-204 Richmond  
Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22202448;  
080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th floor, Kolkata-700071;  
Tel: 033-22825398; 033-22827726; 033-22821922; Fax: 033-22827254; Hyderabad: 6-3-885/7B,  
Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657; 040-23400479;  
Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati,  
Off. C.G. Road, Ahmedabad-380006; Tel: 079-6560393; 079-65609929; Fax: 079-6565293; Kochi:  
Karakkatt Road, Kochi-682016; Tel: 0484-2377057; 0484-2377058; Fax: 0484-370962  
● Subscriptions: For assistance contact Customer Care India Today Group, C-9, Sector-10,  
Noida (UP) - 201301.  
Email: [wecare@intoday.com](mailto:wecare@intoday.com) | Phone / Whatsapp: +91 8597 778 778 (Monday to Friday, 10 am-6pm)

● Sales: General Manager Sales, Living Media India Ltd, C-9, Sector 10, Noida (UP) - 201301;  
Tel: 0120-4019500; Fax: 0120-4019664 © 1998 Living Media India Ltd.  
All rights reserved throughout the world. Reproduction in any manner is prohibited.

● Printed & published by Manoj Sharma on behalf of Living Media India Limited.  
Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007,  
(Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001.

Editor: Sourav Majumdar

● Business Today does not take responsibility for returning unsolicited publication material.  
All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/  
New Delhi only.



For reprint rights and syndication enquiries, contact  
[syndications@intoday.com](mailto:syndications@intoday.com) or call +91-120-4078000

[www.syndicationtoday.in](http://www.syndicationtoday.in)